UNITED STATES BANKRUPTCY COURT
MIDDLE DISTRICT OF FLORIDA
TAMPA DIVISION

In re:	)	
	)	
CARGO TRANSPORTATION SERVICES, INC.,	)	CASE NO. 8:11-bk-432-MGS
	)	
	)	Chapter 11
Debtor.	)	
	)	

OLD DOMINION FREIGHT LINE, INC.'S AMENDED MOTION FOR RELIEF FROM THE AUTOMATIC STAY, TO THE EXTENT APPLICABLE, TO EXERCISE ITS RIGHTS TO SEEK PAYMENT FROM ITS CUSTOMERS

Old Dominion Freight Line, Inc. ("Old Dominion"), by and through its undersigned counsel, hereby moves this Court (the "Motion") for entry of an order modifying the automatic stay, to the extent applicable, to allow Old Dominion to exercise its rights to seek payment from its customers. In support of this Motion, Old Dominion respectfully states as follows:

JURISDICTION

1. This Court has jurisdiction to consider this motion pursuant to 28 U.S.C. § 1334.

2. Venue is proper pursuant to 28 U.S.C. §§ 1408 and 1409.

3. This matter is a core proceeding pursuant to 28 U.S.C. §§ 157(b)(2)(G) and (O).

4. The bases for the relief requested herein are sections 105(a), 362(d)(1), 362(d)(2), and 541 of chapter 11 of title 11 of the United States Code, 11 U.S.C. § 101 et seq. (as amended, the "Bankruptcy Code") and Rules 4001 and 6006 of the Federal Rules of Bankruptcy Procedure (the "Bankruptcy Rules").

BACKGROUND

A. Bankruptcy Case Background

5. On January 12, 2011 (the "Petition Date"), Cargo Transportation Services, Inc. (the "Debtor") filed a voluntary petition for relief under chapter 11 of the Bankruptcy Code with the United States Bankruptcy Court for the Middle District of Florida (the "Court") commencing this chapter 11 case.

6. On January 18, 2011, the Debtor filed its Emergency Motion to Pay Prepetition Claims of Independent Contractors (the "Independent Contractors Motion"). Pursuant to the Independent Contractors Motion, the Debtor sought, and the Court then authorized, permission to pay monies it owes to Old Dominion. Specifically, the Debtor sought authority to pay Old Dominion $201,721.14. See D.E. 28.

7. On January 20, 2011, the Court entered an order approving the Independent Contractors Motion and authorizing payment of the prepetition obligations included in the Independent Contractors Motion (the "Independent Contractors Order").

8. On January 26, 2011, the United States Trustee appointed a committee of unsecured creditors pursuant to section 1102 of the Bankruptcy Code.

9. On January 31, 2011, the Debtor filed its Emergency Motion for an Order: (1) to Show Cause Why Certain Independent Contractors Should Not be Held in Contempt for Violation of the Automatic Stay; and (2) to Enforce the Automatic Stay (the "Stay Motion").

10. On February 1, 2011, Old Dominion filed its Preliminary Response to the Stay Motion (the "Stay Response").

11. On February 2, 2011 and March 9, 2011, the Court conducted preliminary hearings on the Stay Motion and the Stay Response. During the interim, Old Dominion voluntarily agreed to

not contact its customers to demand payment (as described in the Response and herein) while the Debtor and Old Dominion attempted to negotiate a consensual resolution. The final evidentiary hearing on the Motion is scheduled for April 25, 2011.

12. Notwithstanding Old Dominion's agreement to not contact its customers to seek payment – which agreement provided the Debtors the alleged needed breathing period needed to pay the prepetition claims – and the Debtor's authority to satisfy the prepetition claim of Old Dominion, the parties were unable to reach a consensual resolution.

B. Relationship Between the Debtor and Old Dominion

13. Old Dominion is a leading national less-than-truckload ("LTL") motor carrier providing services to its customers throughout the United States. Old Dominion conducts business with the Debtor under two independent relationships – one directly and one indirectly.

14. The Debtor's direct relationship with Old Dominion is formed when the Debtor operates as a broker for the Debtor's customers and contracts with Old Dominion for freight services. Under this relationship, Old Dominion is in privity with the Debtor.

15. Conversely, with respect to the indirect relationship, Old Dominion's customers contract direct with Old Dominion for freight services. In that instance, Old Dominion has no contractual relationship with and is not in privity with the Debtor. Rather, Old Dominion is in privity with Old Dominion's customers who have elected to use Old Dominion for certain freight services.

16. Separately, certain of Old Dominion's customers may also choose to engage the Debtor for certain intermediary billing and other services. In instances such as this one, Old Dominion has no direct relationship or privity with the Debtor. Its only relationship with the

Debtor for these transactions is one where the Debtor is obligated to pay Old Dominion on behalf of Old Dominion's customers (the "Intermediary Relationship").

17. Pursuant to the Intermediary Relationship, Old Dominion's customers pay the Debtor the entire amount they owe to Old Dominion and the Debtor is contractually obligated to remit the payment to Old Dominion on behalf of Old Dominion's customers. During the pendency of this case, Old Dominion has not received payments from certain of its customers – either directly or indirectly through the Debtors. Accordingly, in the ordinary course of business and pursuant to its contracts with its customers, Old Dominion is entitled to payment from its customers for any amounts outstanding for services it provided to its customers.

18. Notwithstanding the Independent Contractors Order, the Debtor's multiple representations that it owes Old Dominion these monies, Old Dominion's agreement to be paid over time, and the passing of more than two months, the Debtor has not made a single payment to Old Dominion.

RELIEF REQUESTED

19. By this Motion, Old Dominion respectfully requests that this Court enter an order effective as of the date of filing this Motion pursuant to section 362(d) of the Bankruptcy Code modifying the automatic stay, to the extent necessary, to authorize Old Dominion to contact its customers to demand payment. As set forth in the Response and herein, this Motion is filed purely as prophylactic measure. Old Dominion submits that the monies that are the subject of this Motion and the contracts that Old Dominion will seek to enforce are not estate property and the automatic stay is not implicated in any manner.

ARGUMENT

20. The Bankruptcy Code provides that a petition for bankruptcy "operates as a stay . . . of . . . any act to obtain possession of property of the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). "Property of the estate" is defined as "all legal or equitable interest of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1).

21. Whether a debtor's interest constitutes "property of the estate" is a federal question. See Lewis v. Charles R. Hall Motors, Inc. (In re Lewis), 137 F.3d 1280, 1283 (11th Cir. 1998). Nonetheless, "the nature and existence of the [debtor's] right to property is determined by looking at state law." Id. (quoting Southtrust Bank of Ala. v. Thomas (In re Thomas), 883 F.2d 991, 995 (11th Cir. 1989)).

22. "A bill of lading is the basic transportation contract between the shipper/consignor and the carrier, the terms and conditions of which bind the shipper and all connecting carriers. . . In the absence of a statement to the contrary, when a bill of lading is intended to conform to the industry standard, by default "the consignor remains primarily liable.'" Spedag Americas, Inc. v. Petters Hospitality & Entm't Group LLC, 2008 U.S. Dist. LEXIS 62911 (S.D. Fla. Aug. 18, 2008) (citing S. Pac. Transp. Co. v. Commercial Metals, Co., 456 U. S. 336, 342, 102 S. Ct. 1815, 72 L. Ed. 2d 114 (1982).

23. As the United States District Court for the Southern District of Florida has noted:

> The default terms and conditions of a standard bill of lading are generally distilled as follows:
>
> The bill of lading provides that the owner or consignee shall pay the freight and all other lawful charges upon the transported property and that the consignor remains liable to the carrier for all lawful charges. The bill of lading, however, also contains "nonrecourse" and "prepaid" provisions that, if marked by the

> parties, release the consignor and consignee from liability for the freight charges. If the nonrecourse clause is signed by the consignor and no provision is made for the payment of freight, delivery of the shipment to the consignee relieves the consignor of liability. Similarly, when the prepaid provision on the bill of lading has been marked and the consignee has already paid its bill to the consignor, the consignee is not liable to the carrier for payment of the freight charges.
>
> In other words, under the default terms of the uniform "straight bill of lading," the shipper/consignor is liable for freight charges unless the bill of lading is marked "nonrecourse," and the consignee is liable for freight charges unless the bill of lading is marked "prepaid."

Spedag, 2008 U.S. Dist. LEXIS 62911, at 5-6 (citing and quoting C. A. R. Transportation Brokerage Co. v Darden Restaurants, Inc., 213 F. 3d 474, 478-79 (9th Cir. 2000).

24. Here, the bills of lading are "straight bills of lading" and are between the shippers (i.e., Old Dominion's customers) and Old Dominion. Copies of the bills of lading are attached hereto as Exhibit A. None of the bills of lading is marked "nonrecourse" or "prepaid." Accordingly, as a matter of law, the shippers (i.e., Old Dominion's customers) remain liable for the charges – notwithstanding whether such customers the Debtor paid these amounts to the Debtor.

25. Section 362(a) provides that the filing of a Bankruptcy Petition operates as a stay of and precludes, among other things, "any act to obtain possession of property of the estate or of property from the estate or exercise control over property of the estate." 11 U.S.C. §362(a)(3). The automatic stay does not implicate non-debtor assets. Accordingly, out of an abundance of caution, and as a prophylactic matter, Old Dominion is filing this Motion, to the extent the automatic stay applies, to request the Court enter an order granting Old Dominion relief from the automatic stay to exercise its contractual rights to contact its customers to demand payment.

26. As justification for the Independent Contractors Motion, the Debtor argued, among other things, that the "Independent Contractors may assert claims against the Debtor's customers, interrupting the Debtor's cash flow and threatening the Debtor's continued relationships." Independent Contractors Motion, ¶ 2. Moreover, the Debtor adopted Old Dominion's position in citing Eleventh Circuit precedent and stating "with respect to Carriers, the Carriers may have direct claims against the Debtor's customers. See National Shipping Company of Saudi Arabia v. Omni Lines, Inc., 106 F. 3d 1544 (11th Cir. 1997) (finding a shipper may be liable to a carrier if the freight forwarder does not pay the carrier *even if the shipper paid the paid the freight forwarder to have the goods shipped.*)" (emphasis in original). Independent Contractors Motion, ¶ 18.

CONCLUSION

WHEREFORE, for all of the foregoing reasons, Old Dominion Freight Line, Inc. respectfully requests that this Court grant it relief from the automatic stay pursuant to 11 U.S.C. § 362(d)(1) and (2) effective as of the date of filing this Motion to exercise its rights to demand payment from its customers and grant Old Dominion Freight Line, Inc. such other and further relief that the Court deems just and appropriate.

Dated: May 2, 2011

Respectfully Submitted,

McGUIREWOODS LLP

By: /s/ *Sara F. Holladay-Tobias*

Daniel F. Blanks
Florida Bar No. Pending
(Admitted Pro Hac Vice)
Sara F. Holladay-Tobias
Florida Bar No. 0026225
50 N. Laura Street, Suite 3300
Jacksonville, Florida 32202
(904) 798-3200
(904) 798-3207 (fax)
dblanks@mcguirewoods.com
sfhollad@mcguirewoods.com

Attorneys and Trial Counsel for Old Dominion Freight Line, Inc.

CERTIFICATE OF SERVICE

I hereby certify that on May 2, 2011, I electronically filed *Old Dominion Freight Line, Inc.'s Amended Motion For Relief From The Automatic Stay, To The Extent Applicable, To Exercise Its Rights To Seek Payment From Its Customers* with the Clerk of the Court by using the CM/ECF system which will send a notice of electronic filing to all CM/ECF participants in this proceeding. I further certify that a copy has been furnished by U.S. Mail to all parties listed on the attached Local Rule 1007(d) Parties in Interest List dated May 2, 2011, including the following:

Cargo Transportation Services, Inc. 1300 Sawgrass Corporate Parkway, Suite 110 Sunrise, FL 33323 *Debtor*	Edward J. Peterson, III, Esq. epeterson@srbp.com Susan H. Sharp, Esq. ssharp.ecf@srbp.com Charles A. Postler, Esq. cpostler.ecf@srbp.com Amy Denton Harris, Esq. aharris.ecf@srbp.com Stichter, Riedel, Blain & Prosser, P.A. 110 East Madison Street, Suite 200 Tampa, FL 33602 (813) 229-0144 (813) 229-1811 (fax) *Attorneys for Debtor*

David S. Jennis, Esq. ecf@jennisbowen.com Jennis & Bowen, P.L. ecf@jennisbowen.com Kathleen L. DiSanto, Esq. 400 N. Ashley Drive, Suite 2540 Tampa, FL 33602 (813) 229-1700 (813) 299-1707 (fax) *Attorneys for Debtor*	James B. Soble, Esq. Ruden McClosky P.A. 401 E. Jackson Street Tampa, FL 33602 *Attorneys for Debtor*
United States Trustee - TPA Timberlake Annex, Suite 1200 501 E. Polk Street Tampa, FL 33602 (813) 228-2000	Nicole Peair, Esq. Nicole.W.Peair@USdoj.gov Timberlake Annex 501 E. Polk Street, Suite 1200 Tampa, FL 33602 (813) 228-2000 *Attorney for U.S. Trustee*
Official Committee of Unsecured Creditors of Cargo Transportation Services, Inc. c/o Craig V. Rasile, Esq. Hunton & Williams LLP 1111 Brickell Avenue, Suite 250 Miami, FL 3311	Craig V. Rasile, Esq. crasile@hunton.com Hunton & Williams, LLP 1111 Brickell Avenue, Suite 250 Miami, Fl 33131 (305) 810-2500 (305) 810-1669 (fax) *Attorneys for Official Committee of Unsecured Creditors of Cargo Transportation Services, Inc.*

/s/ Sara F. Holladay-Tobias

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Label Matrix for local noticing
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Middle District of Florida
Tampa
Mon May 2 12:36:38 EDT 2011

AAA Cooper Transportation
Michelle Lewis, Director - Admin & Custo
1751 Kinsey Road
Dothan, AL 36303-5877

AAA Cooper Transportation
Michelle Lewis, Director Admin & Custome
1751 Kinsey Road
Dothan, AL 36303-5877

Advance Business Capital LLC
c/o Michael W. Ullman, Esq.
Ullman & Ullman, P.A.
150 East Palmetto Park Road, Suite 700
Boca Raton, Florida 33432-4829

American Express Bank
c/o Becket & Lee
PO Box 3001
Malvern, PA 19355-0701

American Express Bank FSB
c/o Becket and Lee LLP
POB 3001
Malvern PA 19355-0701

Apex Capital Corp.
c/o Mark A Gilbert, Esq
Coleman Talley, LLP
PO Box 961029
Ft Worth, TX 76161-0029

Apex Capital Corp.
c/o Mark A. Gilbert
Coleman Talley LLP
910 N. Patterson Street
Valdosta, GA 31601-4531

Ashley-601, Inc.
c/o Philip R. Lazzara, Esq.
307 S Boulevard, Suite D
Tampa, FL 33606-2177

BBK, Ltd
c/o Zachary J. Eskau
Dawda, Mann, Mulcahy & Sadler, PLC
39533 Woodward Avenue, Suite 200
Bloomfield Hills, MI 48304-5103

Dawn A Carapella
Trenam, Kemker, Scharf, Barkin, et al
P.O. Box 1102
Tampa, FL 33601-1102

Comerica Bank
c/o Kenneth Mather
Broad and Cassel
Regions Bank Building, Suite 3500
Tampa, FL 33602

Comerica Bank
c/o Roy S. Kobert
Broad and Cassel
390 North Orange Avenue, Suite 1400
Orlando, FL 32801-1640

Daniel F Blanks, Esq
50 N Laure Street, Suite 3300
Jacksonville, FL 32202-3661

David Sorenson
c/o Peter M Feaman, Esq.
802 Crosswinds Dr
Green Acres, FL 33413-2058

Department of Labor and Security
Hartman Building Suite 307
2012 Capital Circle Southeast
Tallahassee FL 32399 0648

Department of Revenue
PO Box 6668
Tallahassee FL 32314-6668

Kathleen L. DiSanto
Jennis & Bowen
400 N. Ashley Dr., Ste 2540
Tampa, FL 33602-4317

Bert Echols
The Hale Law Group, PLLC
88 Union Avenue
Suite 700
Memphis, TN 38103-5128

Ronald M Emanuel
Ronald M Emanuel PA
8751 West Broward Blvd, Suite 100
Plantation, FL 33324-2630

Estes Express Lines
Wendy Belcher, Credit Manager
3901 West Broad Street
Richmond, VA 23230-3962

Estes Express Lines
c/o Lawrence J. Roberts, Esq.
249 Catalonia Avenue
Coral Gables, FL 33134-6704

Estes Express Lines
c/o Rafael X. Zahralddin-Aravena, Esq.
1105 N Market Street, Suite 1700
Wilmington, DE 19801-1228

Peter M Feaman
Peter M Feaman PA
3615 W Boynton Beach Blvd
Boynton Beach, FL 33436-4501

General Electric Capital Corporation
c/o John S Schoene, Esq
100 E Sybelia Ave., #205
Maitland, FL 32751-4757

General Electric Capital Corporation
c/o John S. Schoene, Esq.
100 E. Sybelia Ave., Suite 205
Maitland, FL 32751-4757

Amy Denton Harris
Stichter, Riedel, Blain & Prosser, P.A.
110 E Madison Street, Suite 200
Tampa, FL 33602-4718

R J Haughey II
Sivyer Barlow & Watson, PA
SunTrust Financial Centre
401 E. Jackson Street, Suite 2225
Tampa, FL 33602-5213

Sara F Holladay-Tobias
McGuire Woods LLP
50 North Laura Street
Suite 3300
Jacksonville, FL 32202-3661

Internal Revenue Service
P.O. Box 7346
Philadelphia, PA 19101-7346

David S. Jennis
Jennis & Bowen, P.L.
400 N Ashley Drive, Suite 2540
Tampa, FL 33602-4317

Roy S Kobert
Post Office Box 4961
Orlando, FL 32802-4961

Philip R Lazzara
307 S Boulevard, Ste D
Tampa, FL 33606-2177

Los Angeles County Treasurer and Tax Collect
attn: Man-Ling Kuo, Tax Services Clerk I
PO Box 54110
Los Angeles, CA 90054-0110

MI Transportation, Inc.
c/o Dawn Carapella
P.O. Box 1102
Tampa, FL 33601-1102

Mangat Group, Inc.
Peter M Feaman, Esq.
3615 West Boynton Beach Blvd
Boynton Beach, FL 33436-4501

Michael C Markham
Johnson Pope Bokor Ruppel & Burns LLP
Post Office Box 1368
Clearwater, FL 33757-1368

Kenneth G M Mather
Broad and Cassel
100 North Tampa Street, Ste 3500
Tampa, FL 33602-5869

Mercedes-Benz Financial Services USA LLC
Stephen P Hale, Esq
Bert Echols, Esq
88 Union Ave., Suite 700
Memphis, TN 38103-5128

Nicole Peair, Esq.
US Department of Justice
Office of the US Trustee, Region 21
501 E Polk Street, Suite 1200
Tampa, FL 33602-3945

Office of US Attorney
Attn Civil Process Clerk
400 North Tampa St Suite 3200
Tampa FL 33602-4774

Old Dominion Freight Line, Inc.
c/o Sara F. Holladay-Tobias, Esq.
McGuireWoods LLP
50 North Laura Street, Suite 3300
Jacksonville, FL 32202-3661

Old Dominion Trucking
c/o Sara F. Holladay-Tobias
McGuireWoods LLP
50 North Laura Street, Suite 3300
Jacksonville, FL 32202-3661

Nicole Peair
Timberlake Annex
501 E Polk Street, Suite 1200
Tampa, FL 33602-3945

Edward J. Peterson III
Stichter, Riedel, Blain & Prosser, PA
110 East Madison Street, Suite 200
Tampa, FL 33602-4718

Charles A. Postler
Stichter, Riedel, Blain & Prosser
110 E Madison Street, Suite 200
Tampa, FL 33602-4718

Precision Truck Lines, Inc.
Ravi Annand, Vice Pres of Finance
8111 Huntington Road
Woodbridge, Ontario Canada L4H 0S6

Precision Truck Lines, Inc.
Ravi Annand, Vice President of Finance
8111 Huntington Road
Woodbridge, Ontario Canada, L4H 0S6

R & L Transfer, Inc.
Michael Shroyer, Chief Financial Officer
600 Gillam Road
Wilmington, OH 45177-9089

Craig V. Rasile
Hunton & Williams, LLP
1111 Brickell Avenue, Suite 2500
Miami, FL 33131-3155

Lawrence J. Roberts
249 Catalonia Avenue
Coral Gables, FL 33134-6704

Ryder Truck Rental, Inc
Kevin Sauntry, Corporate Collection Mana
6000 Windward Parkway
Alpharetta, GA 30005-4181

Ryder Truck Rental, Inc.
Kevin Sauntry, Corp Coll Manager
Chairperson
6000 Windward Parkway
Alpharetta, Ga 30005-4181

Ryder Truck Rental, Inc.
c/o Roger J. Haughey, II
Sivyer Barlow & Watson, P.A.
401 E. Jackson Street, Suite 2225
Tampa, FL 33602-5213

John S Schoene
John S Schoene PA
100 East Sybelia Avenue
#205
Maitland, FL 32751-4757

Susan H Sharp
Stichter, Riedel, Blain & Prosser, P.A.
110 E Madison Street, Suite 200
Tampa, FL 33602-4718

James B Soble
Ruden McClosky PA
401 E Jackson Street
Tampa, FL 33602-5233

Stichter, Riedel, Blain & Prosser, P.A.
110 Madison Street-Ste 200
Tampa, FL 33602-4718

Michael W Ullman
Ullman & Ullman PA
150 East Palmetto Park Road
Suite 650
Boca Raton, FL 33432-4843

United States Trustee - TPA
Timberlake Annex, Suite 1200
501 E Polk Street
Tampa, FL 33602-3949

Value Transport, LLC
c/o Michael C. Markham, Esq.
Johnson, Pope, et al
P.O. Box 1368
Clearwater, FL 33757-1368

Value Transport, LLC
c/o Michael C. Markham, Esq.
PO Box 1368
Clearwater, FL 33757-1368

Gilbert Barnett Weisman
Becket & Lee LLP
16 General Warren Blvd
P O Box 3001
Malvern, PA 19355-0701

Martin J. Weiss
Dilworth Paxson LLP
1500 Market Street, Ste 3500E
Philadelphia, PA 19102-2101

Wells Fargo Equipment Finance, Inc.
c/o Ronald M. Emanuel, P.A.
8751 West Broward Blvd., Suite 100
Plantation, FL 33324-2630

The following recipients may be/have been bypassed for notice due to an undeliverable (u) or duplicate (d) address.

(d)United States Trustee - TPA
Timberlake Annex, Suite 1200
501 E Polk Street
Tampa, FL 33602-3949

End of Label Matrix

Mailable recipients	64
Bypassed recipients	1
Total	65